

June 1, 2021

VIA ELECTRONIC TRANSMISSION: dakers@equalisgroup.org

Mr. David J. Akers
Executive Vice President
Equalis Group LLC
6001 Cochran Road, Suite 333
Cleveland, Ohio 44139

Dear Mr. Akers:

You have requested that Ulmer & Berne LLP render a legal opinion to Equalis Group, LLC (referred to herein as “**Equalis Group**” or “**Company**”)¹ regarding i) whether Ohio Attorney General Opinion 2019-028, published August 13, 2019, (the “**AG Opinion**”) precludes public agencies from purchasing from Equalis Group vendors through its already-procured contracts and ii) whether the Company’s business structure, procurement methodology, and unit pricing are consistent with applicable Ohio law pertaining to piggy-backing and third party procurement administration. We understand that:

1. Equalis Group is an innovative cooperative purchasing organization that uses the lead agency model for competitively bid contracts;
2. Through public sector procurement guidelines, the Company establishes already-procured, competitively solicited contracts with suppliers of products and services;
3. Public agencies across the country can join Equalis Group and purchase directly from the suppliers to whom contracts have been awarded; and,
4. Equalis Group has had a number of contracts that involve facilities: HVAC and building solutions, roofing, generators, paving, etc.

In connection with this opinion we examined Equalis Group’s current business model², as a third-party procurement administrator (TPA), and its agreements with regional council of governments (RCOGs) to procure goods and services with suppliers. We also reviewed the following contracts and agreements: the Education Service Center Region 10 and CCOG Agreement; the Cooperative Council of Governments Agreement; the Amended & Restated

¹ In terms of corporate structure, we are aware that Equalis Group and its affiliates are for-profit limited liability companies. Equalis LLC is an Ohio limited liability company, Equalis Group, LLC is a Texas limited liability company, registered as a foreign limited liability company operating in Ohio, and Collaborent Group Ltd, an Ohio limited liability company, is a wholly owned subsidiary of Equalis Group, LLC.

² Essentially, Equalis Group structures its procurement process through master purchasing agreements with lead public agencies; i.e. the lead agency model. Those agreements identify the separate roles and responsibilities of the parties with the public entities retaining control over the procurement process and responsibility for compliance. Membership agreements and management service agreements are used as the primary vehicles to allow group member purchasing from public entities. Equalis Group administers the purchasing program authorized by those public entities.

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Shared Services Agreement; the Education Service Center Region 10 and the Cooperative Council of Governments, Inc. Agreement; the Primary Lead Agency Agreement with Region 10; the Roof Connect and Region 10 Agreement; the Tarkett and Equalis Agreements (Administration and Marketing); the Master Intergovernmental Cooperative Purchasing Agreement; the CCOG Code of Regulations, and the Requests for Proposals and Publications Agreement. Finally, we analyzed Ohio statutes and regulations, and the AG Opinion.³

A. Equalis Group as Third-Party Procurement Administrator

Equalis Group's business structure of functioning in the role of TPA to the Cooperative Council of Governments (CCOG) and RCOGs to allow the purchase of goods and services by cooperative participants appears to be expressly authorized by the AG Opinion and Ohio law. The AG Opinion specifically addresses the role of a third-party procurement administrator by answering the question of "whether a contract awarded pursuant to R.C. 167.081, through a competitive bidding process applicable to a regional council member subdivision, may be amended to add a third-party procurement administrator as the contract holder and extended to other council members to use without competitive bidding?"

In answering this question, the AG Opinion defines a "Third-Party Procurement Administrator" as a "private company that manages the implementation of a contract awarded pursuant to R.C. 167.081 in exchange for a fee from the members of a regional council of governments." The AG noted that a private company has **no** authority to form or be a part of a regional council of government. Rather, only the governing bodies of two or more political subdivisions, such as

³ Our legal opinion is limited to and based solely on Ohio law—even as there is a dearth of definitive legal authority in Ohio, and the only guidance issued on the propriety of these sponsored purchasing cooperatives was in 2019. Because some of the Company's contracts (with Region 10) recite that they are governed by Texas law, we did perform a cursory review of Texas law and wanted to flag a potential issue as it pertains to V.T.C.A. 791.013. This regulation addresses contract supervision and administration of interlocal contracts. V.T.C.A. 791.001. Provision 791.013, provides that to supervise the performance of an interlocal contract, the parties, i.e., local governments, may (1) create an administrative agency; (2) designate an existing local government; or (3) contract with an organization that qualifies for exemption from federal income tax under Section 501(c), Internal Revenue Code of 1986, as amended, that provides services on behalf of political subdivisions or combinations of political subdivisions and derives more than 50 percent of its gross revenues from grants, funding, or other income from political subdivisions or combinations of subdivisions. *Id.* Sections 1 and 2 of the statute do not apply. However, Section 3 does permit governmental entities to contract with certain organizations. Such organizations must be tax-exempt under Section 501(c) of the Internal Revenue Code in order to contract with political subdivisions to supervise an interlocal contract or provide services on behalf of the political subdivisions. Since Equalis Group is not qualified as a 501(c) exempt organization, and assuming this provision of Texas law applies, Equalis Group may be prohibited from supervising contracts between local governments. However, other provisions of Texas law under state and local codes govern cooperative purchasing program participation and appear to authorize the lead agency contracting model used by Equalis Group. To ensure that the Equalis Group business model and structure are compliant with Texas law, the advice of Texas legal counsel should be obtained. Our opinion is not intended and should not be construed as interpreting Texas law.

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counties, municipal corporations, and townships, have the authority to join together to form RCOGs; e.g. CCOG.⁴

A RCOG has the authority to “employ such staff and contract for the services of such consultants and experts...as it deems necessary and appropriate in the manner and under procedures established by the by-laws of the council.” R.C. 167.05. By finding that nothing in the statute prohibits a RCOG from hiring a TPA to oversee the management of a contract entered into under R.C. 167.081, the AG Opinion supports the proposition that a RCOG can hire a TPA to administer a per unit contract, and the purchasing model and contracts methodology currently used by Equalis Group appear to be consistent with Ohio law.

That said, it should be emphasized that CCOG and RCOGs must retain ultimate responsibility for the procurement process and compliance with all applicable Ohio laws, even though some services might be managed or directed by Equalis Group as TPA. As an example, the AG stated that the RCOG continues to be responsible for compliance with all public bidding requirements, prevailing wage laws, and other such legal duties. Given the language in the contracts we reviewed, it is our belief that the documents reasonably set forth and preserve the required separateness of roles, responsibilities and functions between CCOG and Equalis Group, as TPA, consistent with Ohio law.

The AG Opinion indicates that a TPA can be added as the contract holder to administer benefits and services to other council members and participating purchasing entities, as long as the public entity retains authority for the public procurement process and does not abandon or delegate its primary responsibility for compliance with state law governing that process. We interpret Ohio law as allowing and authorizing a direct reporting line from the TPA to the public agencies under a primary or lead agency agreement in implementing cooperative purchasing; with purchasers/vendors entering into separate, secondary agreements to participate in the purchasing program. In the absence of additional and definitive legal authority, we are unable to opine as to the propriety of any other purchasing structure or business model.

Based upon the AG Opinion, the current business structure and lead agency purchasing model used by Equalis Group appear to be compliant with and authorized under current Ohio law, as long as CCOG continues to retain ultimate responsibility for public bids and other procurement matters, such as prevailing wage laws, and for overall program compliance.

⁴ The RCOGs are the lead agencies formed under the laws of Ohio to procure public contracts for its members (public agencies). The RCOGs then engage Equalis Group to work with it to administer, manage, and assist in procuring public contracts with suppliers, and then to stay on and manage those contracts throughout the RCOG’s term. Equalis Group also has separate agreements with the suppliers providing exclusivity and other terms and conditions when working with its members to implement the various purchasing programs.

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B. Piggybacking of Competitively Bid Construction Contracts

It is important to note that R.C. 9.48(B) does not authorize a political subdivision to acquire new construction services through participation in a contract entered into by another political subdivision. As stated in the AG Opinion, “the General Assembly did not intend to include construction or construction services among the list of items, which a political subdivision may secure under the purchasing authority described in R.C. 9.48.” 2019 Ohio Op. Atty. Gen. No. 2019-028 (Aug. 13, 2019), p. 4. Therefore, piggybacking contracts for new construction is not permitted.

However, this restriction does not apply to contracts that relate to the repair, enlargement, improvement, or demolition of an already-existing building or structure if the contract utilizes unit-based pricing. Specifically, R.C. 167.081 provides:

A regional council may enter into a contract that establishes a unit price for, and provides upon a per unit basis, materials, labor, services, overhead, profit, and associated expenses for the repair, enlargement, improvement, or demolition of a building or structure if the contract is awarded pursuant to a competitive bidding procedure of a county, municipal corporation, or township or a special district, school district, or other political subdivision that is a council member; a statewide consortium of which the council is a member; or a multistate consortium of which the council is a member

A county, municipal corporation, or township and a special district, school district, or other political subdivision that is a council member may participate in a contract entered into under this section. Purchases under a contract entered into under this section are exempt from any competitive selection or bidding requirements otherwise required by law.

R.C. 167.081. The AG Opinion states: “R.C. 167.081 authorizes a regional council of governments to enter into a contract on a per unit basis for certain aspects of work performed on a building or structure, **if the contract was awarded pursuant to a competitive bidding procedure applicable to one of the council's member subdivisions.**” (Emphasis added). 2019 Ohio Op. Atty. Gen. No. 2019-028 (Aug. 13, 2019), p 4.

Further, the AG Opinion cites R.C. 167.05 to support the statement that “a regional council of governments has authority to hire a private, third-party procurement administrator to manage the implementation of a per unit contract entered into pursuant to R.C. 167.081.” *Id.* at p. 10. The AG Opinion then goes on to qualify this statement:

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“However, the regional council of governments retains ultimate responsibility for compliance with all applicable Ohio laws. For example, the regional council of governments must be the entity to award the per-unit contract under R.C. 167.081 and comply with all public bidding requirements.” *Id.*

“Under R.C. 167.05, a regional council of governments has authority to hire a private, third-party procurement administrator to manage the implementation of a per-unit contract entered into pursuant to R.C. 167.081. The privilege of utilizing the contract may not extend to the member subdivisions of the regional council, unless the contract is entered into by and between the regional council of governments and the procurement administrator.” *Id.* at p. 12.

The AG Opinion clarifies that “[a] regional council of governments is formed when governing bodies of various political subdivisions, such as counties and cities, enter into an agreement with each other to establish a regional council consisting of those political subdivisions. R.C. 167.01.” *Id.* at p. 2. This indicates that a regional council may piggyback off of a per-unit and unit-based contract that was entered into by one of its members for the repair, enlargement, improvement, or demolition of an already-existing building or structure. Once the regional council has entered into a contract in this manner, the other members become eligible to participate in the contract as well. Members cannot participate in contracts entered into by other members, only in contracts entered into by the regional council.

In fact, the AG Opinion later confirms that:

A regional council and its members may obtain the benefits of a per unit contract under R.C. 167.081 only if the contract is awarded under competitive bidding requirements applicable to a *current member* of the council.

* * *

If the benefits are to be extended to the council's members, the contract must be entered into by and between the regional council itself and the procurement administrator. To accomplish this end, the regional council of governments would be required to receive bids, pursuant to the competitive bidding procedures applicable to one of the council's member subdivisions, and to provide public notice once a week for at least two consecutive weeks before the date specified for receiving bids.

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(Emphasis original). *Id.* at p. 10.

Therefore, the contract to be piggybacked must have been entered into **while the political subdivision was a member of the regional council.**

The AG Opinion provides that “if a political subdivision enters into a competitively bid contract and *then* joins the regional council, a regional council cannot enjoy the benefits of the contract.” (Emphasis original). *Id.* In that event, the competitive bidding process must be re-done.

The Opinion provides further qualification by stating that “although R.C. 9.48 and R.C. 167.081 allow political subdivisions to avoid repeated competitive bidding by ‘piggybacking’ onto a contract that already has been competitively bid, those statutes should not be interpreted as allowing a political subdivision to piggyback onto a contract in perpetuity.” *Id.* at p. 12. Therefore, contracts to be piggybacked must contain a specific term or time period in the agreement with the procurement administrator to satisfy this requirement.

CONCLUSION

In short, the AG Opinion specifically permits Equalis Group to function as a “third-party procurement administrator” that i) manages and administers contracts awarded by RCOGs and ii) facilitates the piggybacking by political subdivisions that are Equalis Group members of **competitively bid** construction contracts by the regional council of governments so long as the following conditions are met:

1. The contract is not for new construction;
2. The contract relates to the repair, enlargement, improvement, or demolition of an already-existing building or structure;
3. The contract utilizes per-unit or unit-based pricing;
4. The political subdivision was a member of the regional council of governments at the time it entered into the contract on which the regional council of governments is piggybacking to enter into the contract;
5. The competitive bidding is solicited by the regional council of governments or one of its member political subdivisions; and
6. The contract is for a specific time period and then terminates, allowing for a new competitive bidding process after termination.

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QUALIFICATIONS

The opinions expressed herein are solely for the benefit of Equalis Group and may not, without our express prior written consent, be disclosed to or relied upon in any manner by any other person or entity. None of the foregoing opinions include any implied opinion unless such implied opinion is both (i) essential to the legal conclusion reached by the express opinions set forth above and (ii) based upon prevailing norms and expectations among experienced lawyers in the State of Ohio and reasonable under the circumstances. This opinion does not constitute a guarantee of any matter opined upon herein, and by rendering this opinion, we are not guaranteeing the result of any legal challenge or the interpretation by a court of the AG Opinion that is the subject of the legal opinions contained in this letter. This letter speaks only as of the date hereof, and Ulmer & Berne LLP has no responsibility or obligation to update this letter, to consider its applicability or correctness to any person other than its addressee(s), or to take into account changes in law, facts or any other developments of which we may later become aware. As case law develops around the AG Opinion, Ulmer & Berne LLP's opinion and interpretation of the AG Opinion may change. The AG Opinion is still too new for there to be substantial legal interpretation of it in case law. Further, as a result of COVID-19, courts have not been nearly as active, and there has been little opportunity since August 13, 2019 for any meaningful judicial review to occur or guidance to develop around issues related to the AG Opinion. Therefore, this interpretation by Ulmer & Berne LLP is a snapshot in time and valid only until courts begin to interpret and rule on issues related to the AG Opinion. Ulmer & Berne LLP's interpretation of the AG Opinion may change based on subsequent rulings by courts.

Respectfully submitted,

Ulmer & Berne LLP

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